Chapter Forty-Eight

Agriculture Policy Reforms

There are quite a few facts apparent when one scans the agriculture situation of India today.

First, land under agriculture has reached saturation point. About 140 million hectares of land is currently under cultivation. Land under cultivation grew from about 116 million hectares at the time of Independence to about 143 million hectares at its peak twenty-five years ago. For many years, it has remained around 140 million hectares. It is unlikely to increase further.

Second, agriculture is primarily land-based. However, productivity of land—value added divided by land use—is 200 times more in non-agricultural use than agricultural use.

Third, much of the land under crops is used for foodgrains. As land is sown more than once in a year, the gross cropped area is higher than 140 million hectares. Total cropped area under foodgrains is around 125 million hectares (45 million hectares under paddy, 30 million hectares under wheat, 20 million under coarse cereals, currently called nutri-cereals, and about 30 million hectares under pulses). Oilseeds are grown on another 25 million hectares of land, cotton takes about 12 million hectares and sugarcane another 5 million hectares. Total area under horticultural crops (vegetables, fruits, flowers, including plantations) is only around 25 million hectares. Field crops (foodgrains, edible oilseeds, cotton and sugarcane) use about 160 million hectares of gross cropped area, whereas horticultural crops use only about 25 million hectares. No land is specifically counted as being under animal husbandry. In any case, animal husbandry either co-uses land under crops or is undertaken on non-cultivated common land or